

1 - Charles Handy - Types of corporate culture

Flipped learning - Please watch this short video and read the notes before the start of the lesson



Learning Outcome

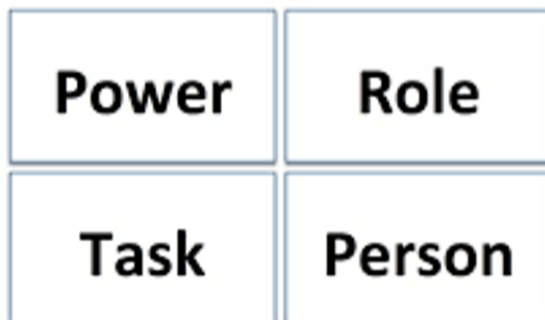
By the end of the lesson I will be able to classify different types of corporate culture using Handy's model

To Know



- I know the four types of organisational culture in Handy's model: power, role, task, and person culture.
- I know the characteristics and behaviours typical of each culture type.
- I know real or hypothetical business examples that reflect each type of culture.
- I know how different cultures influence communication, leadership, and decision-making.
- I know the suitability of each culture type for different organisational goals or industries.

Handy's Four Classes of Culture



HANDY'S Power Culture

- In a power culture there is a central figure (or small group of individuals) that will make all the decisions.
- A consequence of this can be quick decision-making- adapt quickly to change.

HOWEVER

- There is little opportunity for workers to share their views or to be given any responsibilities- Therefore a potential lack of motivation for many workers.

HANDY'S Role Culture

- In a role culture the organisation is based on rules. This type of organisation is **highly controlled**, with everyone knowing their role and responsibilities. (written in employment contract)
- Therefore power in a role culture is determined by a person's position (role) in the organisational structure. (i.e. their job title). Therefore, those workers at the top of the organisational structure have the most power.
- The obvious **benefits** for the business are that workers that are failing to follow their specific job role are **easily identified** and can be dealt with. Therefore owners/higher level managers have more **CONTROL**
- To ensure all workers are closely monitored there will be **narrow spans of control** (i.e. a **tall** organisational structure). Therefore a positive benefit for the workers is more promotional opportunities – increases motivation and this benefits the business.
- Workers are also clear on exactly what their job role is and therefore more **feel more comfortable**.

HOWEVER

- Some workers **will not like being controlled** and would prefer more freedom – leads to demotivated workers (particularly important for higher skilled workers)
- **Increased labour costs** due to more supervisors/managers being employed.
- Taller organisational structure so **slower decision making** as there is a **longer chain of command**

HANDY'S Task Culture

- In a task culture the focus is on **creativity and empowering** workers. (encourages intrapreneurship)
- Emphasis is placed on **small teams** completing **projects** (e.g. new car design) – i.e. the use of a **matrix structure** – (Theme 1 topic - see notes)
- The task is the important thing, so power within the team will often shift depending on the status of the project (i.e. when specific expertise is required this individual holds the power)
- With the right mix of skills, personalities and leadership, working in teams can be incredibly productive and creative.

HOWEVER

- Some workers do not want to work in teams and may struggle to work with other members.
- Workers may struggle to agree on key decisions and with power being shared it could lead to delays or even a failure to complete the assigned project.
- More difficult for senior managers to control the actions of workers (compared to a role culture) so the team may not work efficiently or may make poor decisions.

HANDY'S Person Culture

- In organisations with person cultures, individuals very much see themselves as unique and superior to the organisation.
- The organisation simply exists in order for people to work.
- An organisation with a person culture is really just a collection of individuals who happen to be working for the same organisation. e.g. doctors surgery and law firm
- Benefits include that the organisation is highly creative and individual, with a strong emphasis on customer needs.
- It is also very quick to deal with the changing needs of the market.

HOWEVER

- Staff are often only interested in achieving individual goals.
- Staff are more difficult to manage if their goals are different to the business.



I Do, We Do, You Do

Extract F

Zappos.com

Twenty years ago, we began as a small online retailer selling only shoes. Today, we still sell shoes – as well as clothing, handbags and accessories. We provide the very best customer service, customer experience and have a unique company culture.

We are not an average company, our service is not average and we do not want our employees to be average.

Extract G

How we work: Holacracy at Zappos.com

Our business is often changing, and usually really quickly. Over the last few years, we have seen huge growth. As a result, we have had a rise in bureaucracy within our organisation.

We therefore introduced a unique system called Holacracy for all employees. This is a system that allows for innovation to come from any employee or team rather than just senior management. In most businesses, new ideas have to be approved by a manager or a chain of managers. We are different. As a business we encourage employees to identify areas of improvement, then form a team within the business that proposes solutions for a specific task.

Our Holacracy system is designed to prevent new ideas from being stopped and gives everyone an equal opportunity to speak in weekly meetings. Most importantly, we encourage employees to be themselves and have fun in their job roles. We like having a good time at work, not just outside of it.

Zappos.com could be considered to have a task culture.

Evaluate the benefits of a task culture for a business such as *Zappos.com*.

(20)

Paragraph 1 POINT IMPLICATION/S WHAT IMPACT DOES THE IMPLICATION/S HAVE ON THE STATED BUSINESS OBJECTIVE?	One benefit is.... This is because... Consequently/This means/This will lead to... Therefore... As a result, ...
Paragraph 2 POINT	Another benefit is ... This is because...

**What factors does
the success of your
chosen option
depend upon?**

Success of this will depend on...

It is recommended that...